

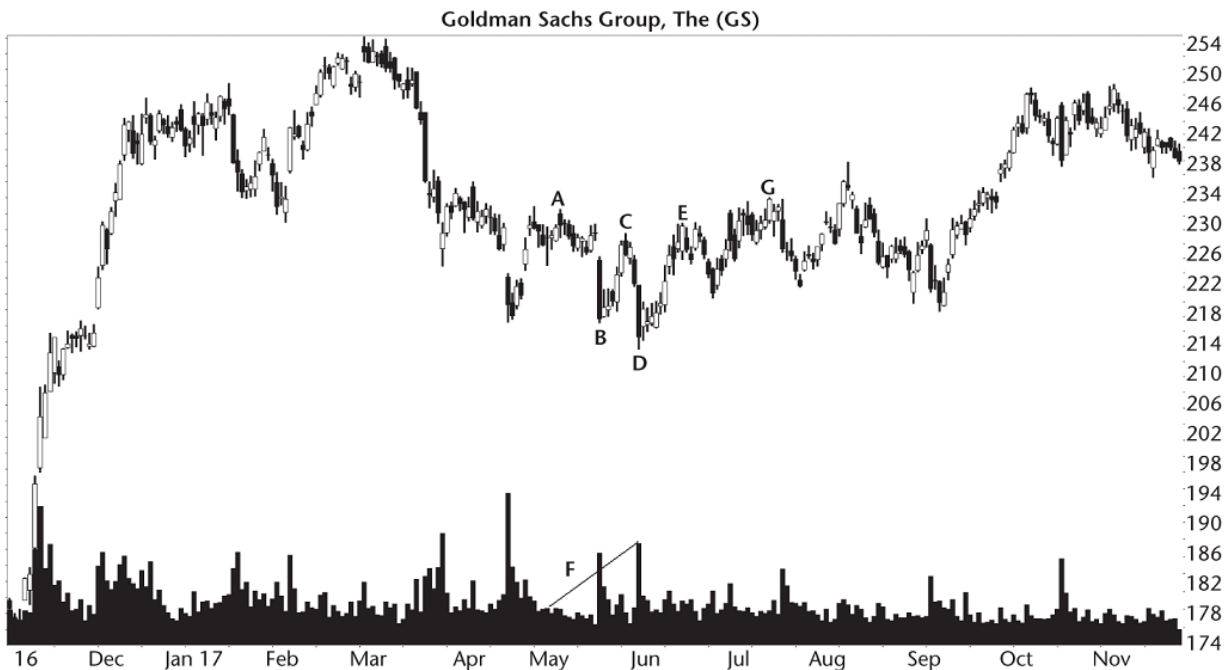


Figure 3.2 Another example of a bullish AB=CD pattern with an upward breakout (when price closes above the top of the pattern).

CB/AB retrace. The BC retrace of AB should be one of the Fibonacci numbers listed in [Table 3.1](#). Let's use the pattern shown in [Figure 3.2](#) as an example of how this works (rather, how I wrote my software to find these patterns).

The high price at A is 228.89, the low at B is 213.12, and the high at C is 225.45. The CB/AB ratio is $(225.45 - 213.12) / (228.89 - 213.12)$ or .782, which is darn close to the .786 number in the table. It qualifies as a proper turn. My software looks for a number within a window .5% of the target numbers listed in the table.

Once you know the ABC turn, you can determine what D should be priced at. In this example $D = C - (A - B)$ or 209.68, which is close to the actual low at D of 209.62.

CD/CB extension. Point D can also be found by the formula $C - (C - B) / (\text{Fibonacci number})$ or $225.45 - (225.45 - 213.12) / .786$ in this example. The result is 209.76.

Hills and valleys. The table explains the requirements of peaks and valleys between the various points in the pattern.